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Investor Presentation | Asia Pacific

# Stronger Trade, Weaker Domestic Demand

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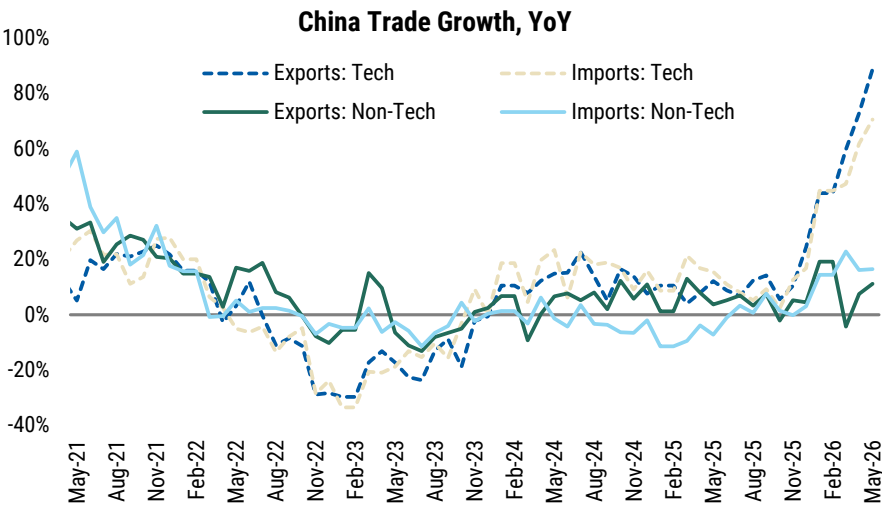
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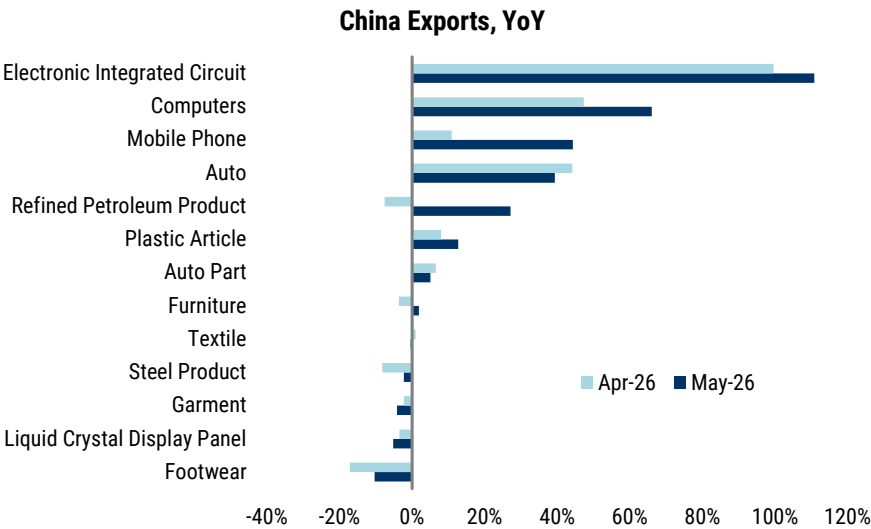
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# Broadening Export Improvement

Global AI cycle drives China trade growth



Elsewhere, export breadth is improving

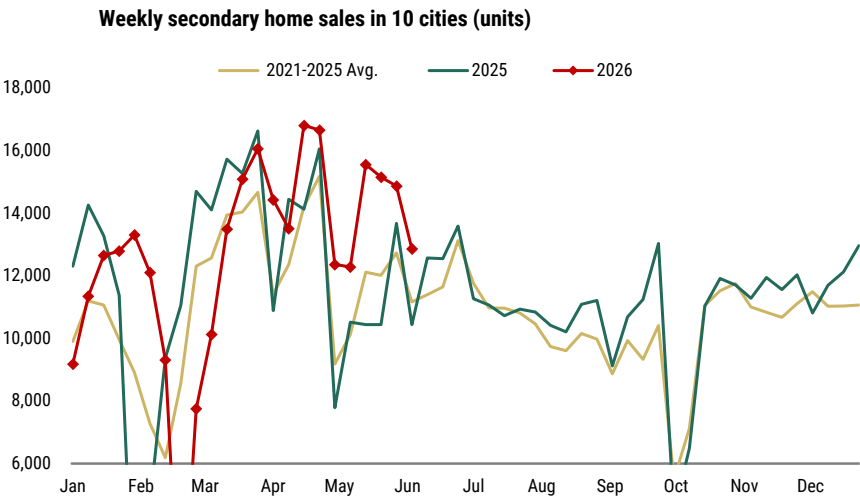
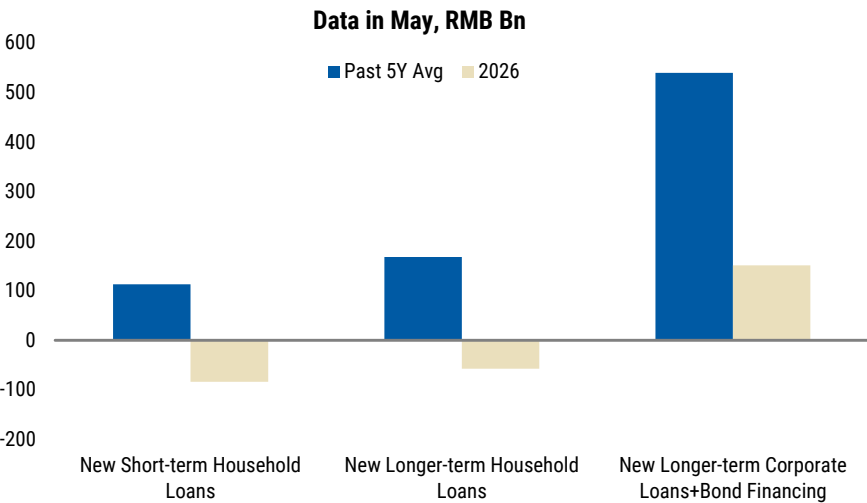


Source: CEIC, Morgan Stanley Research

# Yet Private Credit Demand Weakened Further

Broad-based private credit demand weakness

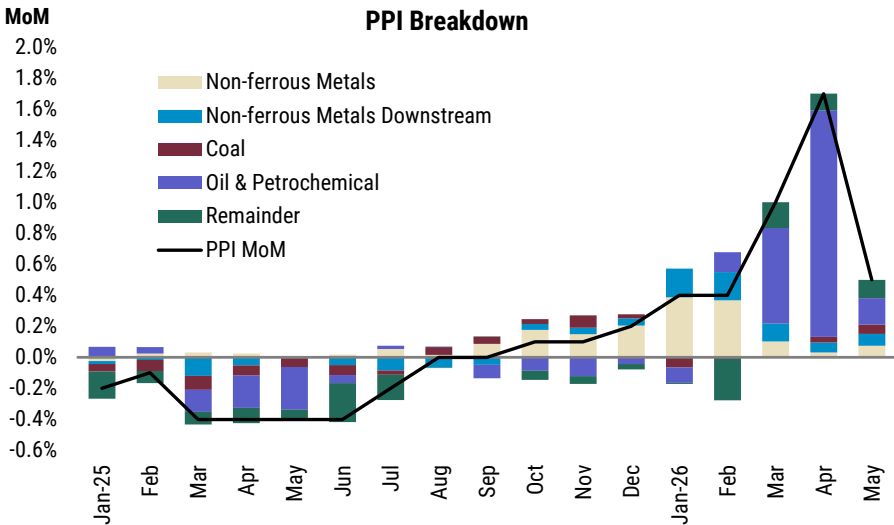
Continued household deleveraging in aggregate suggests the recent housing sales rebound is narrow



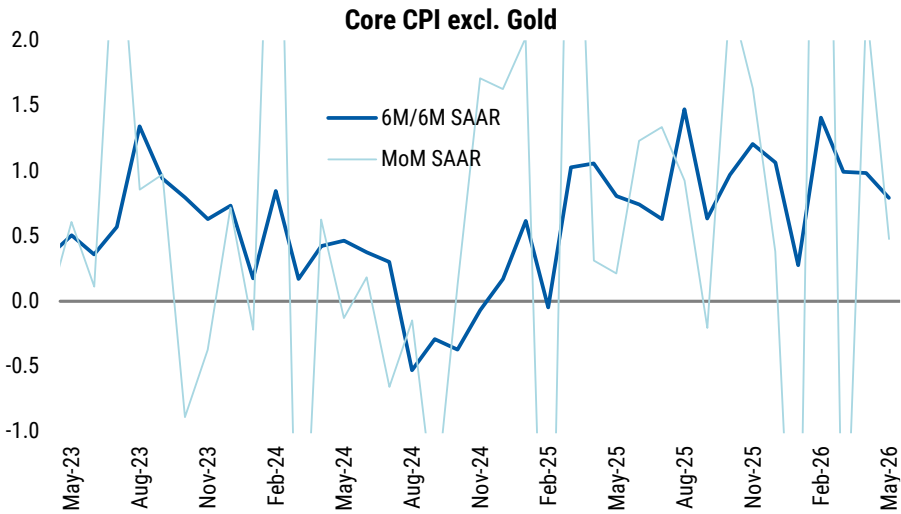
Source: CEIC, Morgan Stanley Research

# Sequentially Slower Oil Push, Limited Reflation Elsewhere

PPI MoM slipped on reduced oil price impulse



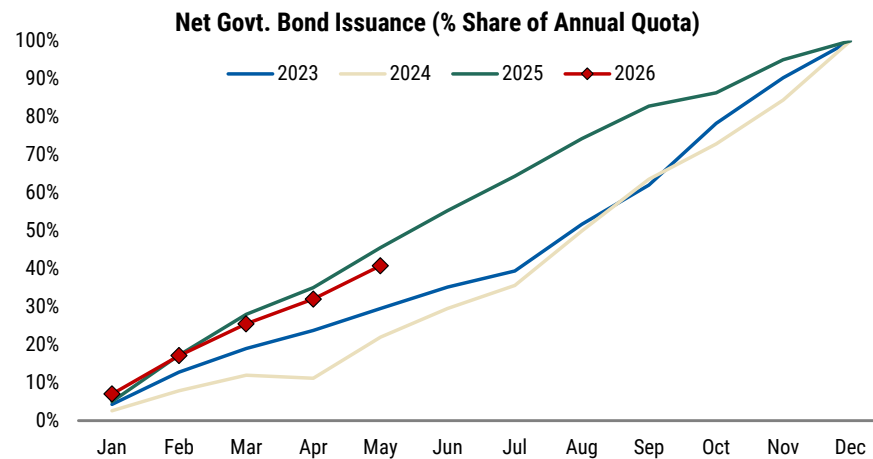
Limited transmission to core CPI



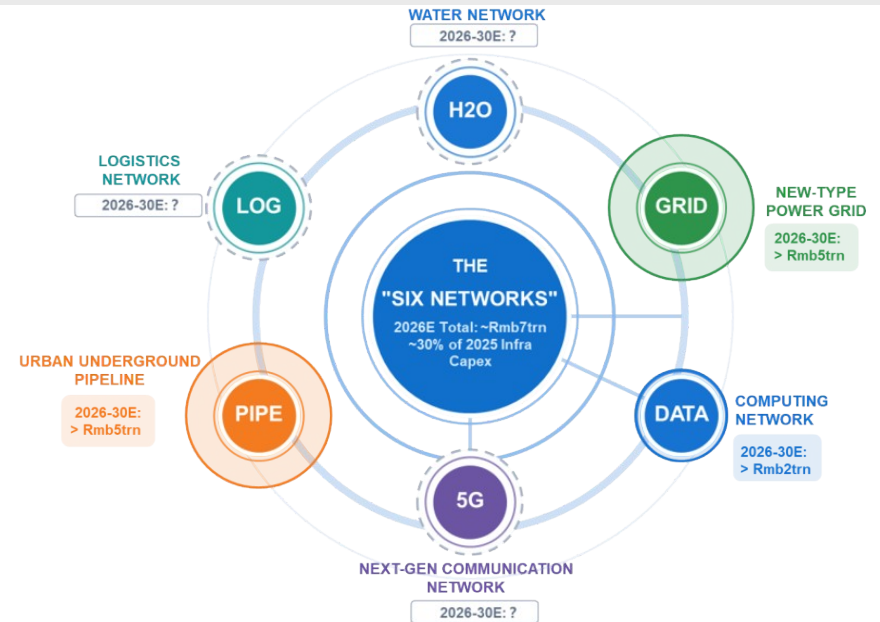
Source: CEIC, Morgan Stanley Research

## Budget Rollout May Accelerate from 3Q to Support AI and Energy Transition

### Pace of fiscal rollout slowed in Apr-May



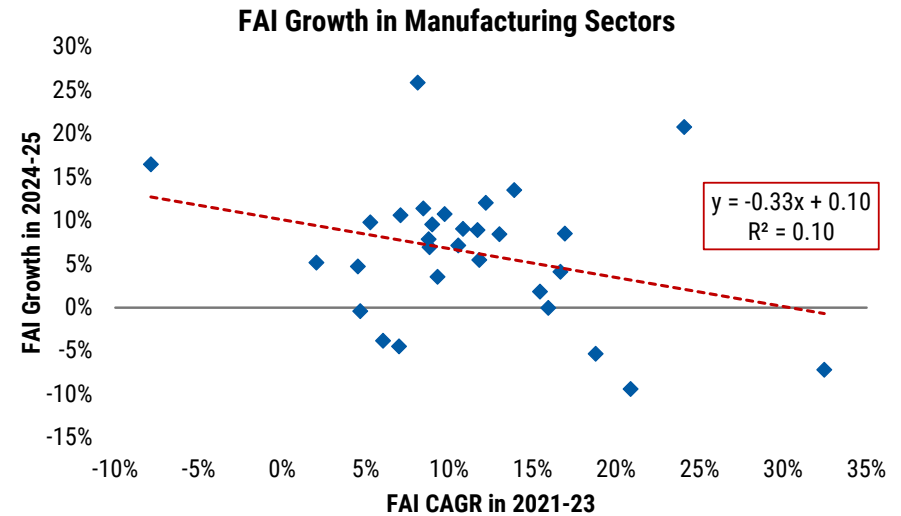
### Expecting stronger budget execution from 3Q, with Focus on AI and Energy Transition in the “Six Networks”



- Only **41%** of annual government bond quota was utilized (**46%** by May-25)
- We thus expect an **accelerated budget rollout**, not additional stimulus, from 3Q
- Policy focus will remain capex-centric, particularly on **AI computing networks, internet data centers and smart grids** under the "Six Networks" initiative

Source: CEIC, Morgan Stanley Research

**Investment ex-property growth slowed from 2021-23's spike, but only at a modest pace**      **The "baton" of investment has been passed from sectors with overcapacity to those with less oversupply, for now**



- Top-down coordination unworkable; market mechanisms for specialization still weak
- Local incentives misaligned
- Tax system biases production

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## Reforms Needed for Economic Rebalancing

Five-year plan remains supply-centric

Local government incentives should be reoriented towards consumption

### Growth Target

- Not Specified

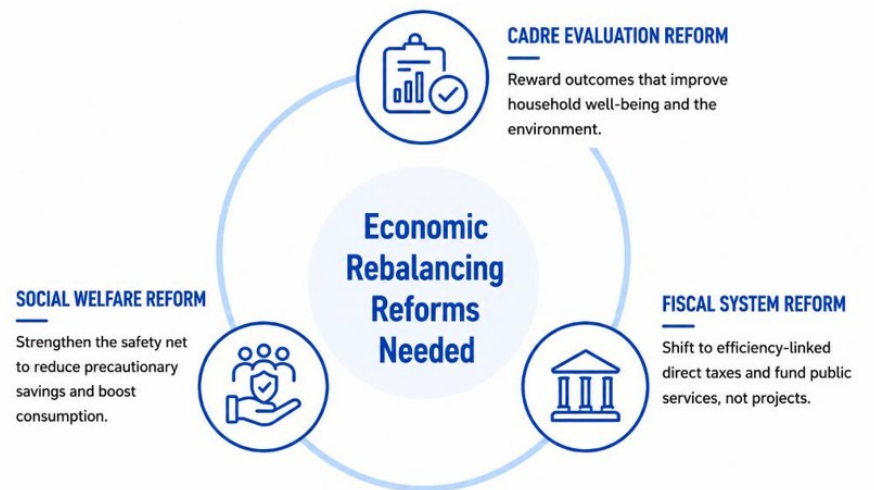
### Consumption

- Commitments to boost consumption/GDP ratio

### Tech & Green Transition

#### Clear numerical targets:

- R&D (5Y CAGR: >7%)
- Labor productivity growth (>GDP growth)
- Digital economy (↑2pp of GDP by 2030)
- CO2 emissions per unit of GDP (↓17% by 2030 vs. 2025)
- Additional target on non-fossil fuel consumption



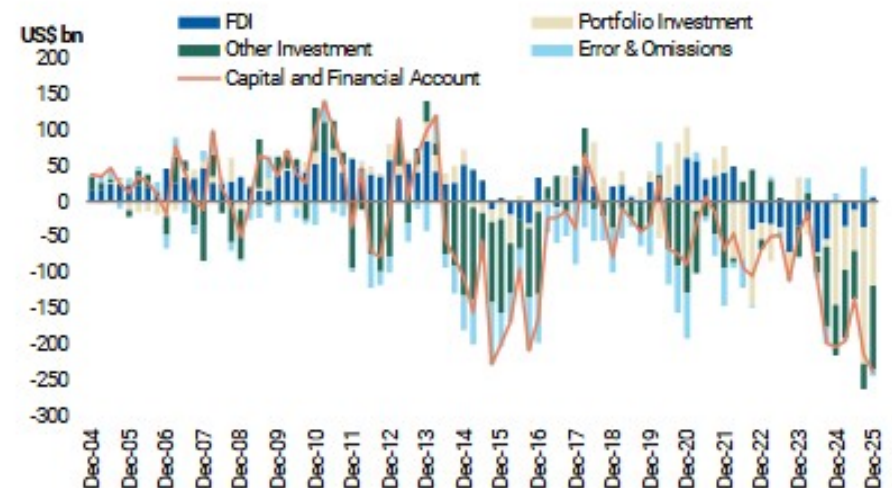
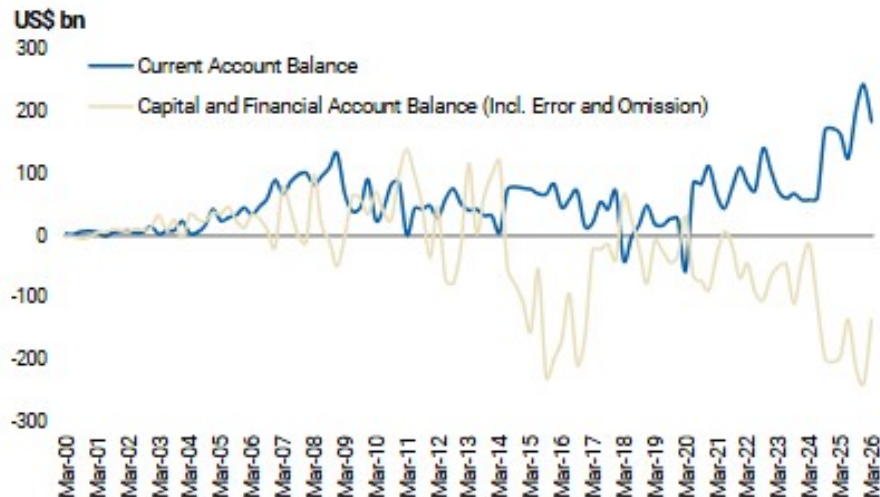
Source: CEIC, Morgan Stanley Research

## Outbound Investment

### Tightening Outbound Investment Controls to Regulate Flows...

China's non-reserve balance of payments: from a unique "twin surplus" to the more common "mirror image"...

...with capital outflows increasingly led by portfolio investment



Source: CEIC, Morgan Stanley Research

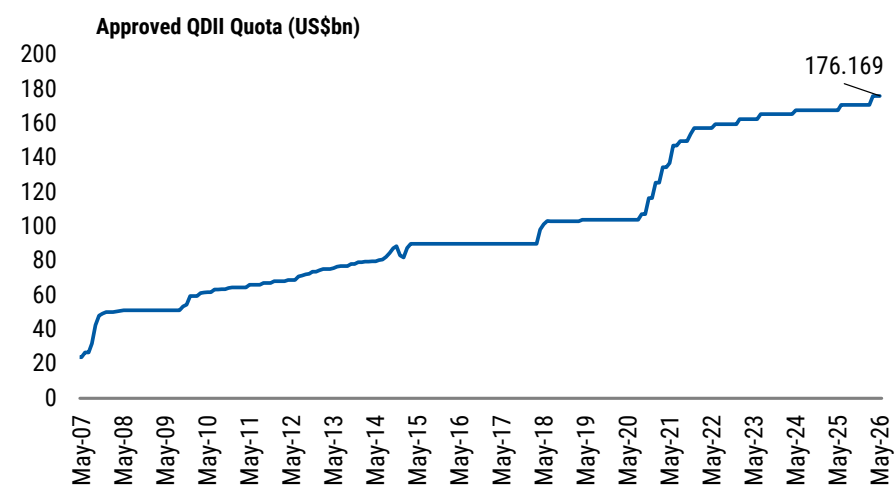


Outbound Investment

...Not Shut Down Overseas Investment Channels

Mainland residents still have several legal routes to gain offshore securities exposure...

...albeit with various limitations such as insufficient quotas, product eligibility and regional restrictions etc.

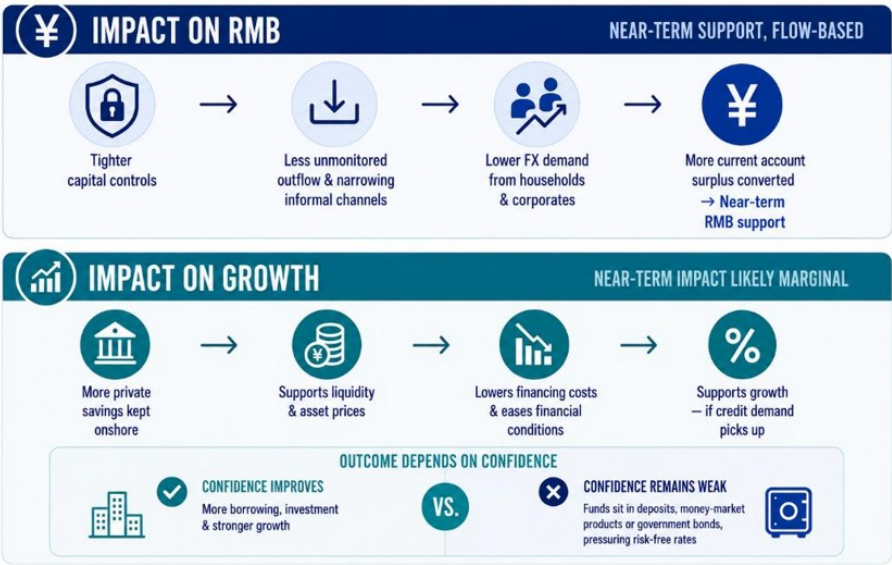


Source: CEIC, Morgan Stanley Research

Outbound Investment

Implications: Near-term Support to RMB; Marginal Impact on Growth

Regulatory impact on RMB and growth

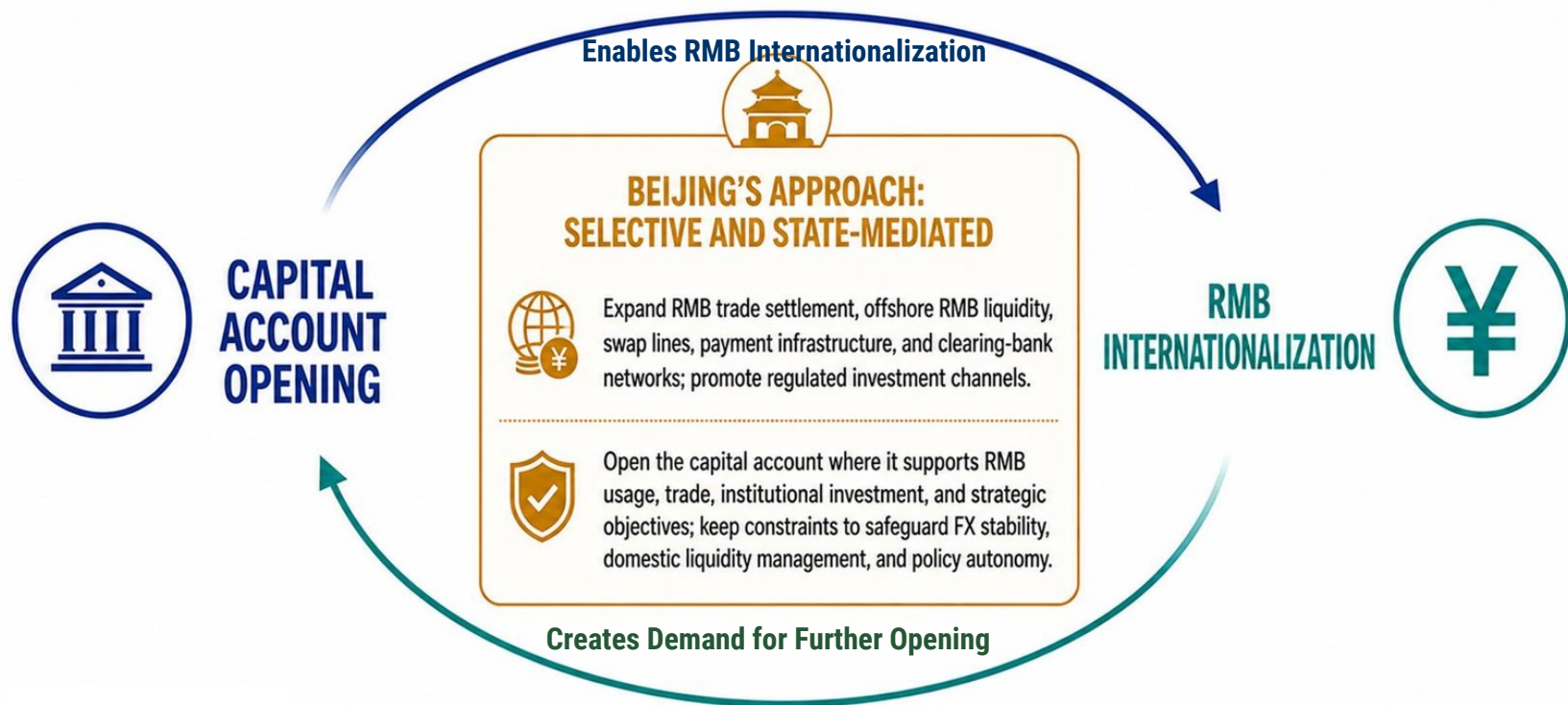


## Outbound Investment

## China Will Likely Continue with Its Prevailing Capital Account Opening Approach

# Capital-Account Opening and RMB Internationalization: A Managed Symbiosis

Mutually Reinforcing. Selectively Opened. Strategically Balanced.



Source: CEIC, Morgan Stanley Research

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